RUBRIK VS VARONIS: WHICH TO PICK?

Analysis:

Mordor Intelligence estimates the data security market CAGR at 17.12%. This is used as the terminal growth rate in the projection under a flat-share assumption, and as a threshold for market share direction: a company growing above 17.12% is gaining share, below it is losing share.

- **Rubrik:**
  - Management Quality:
    - Rubrik has made three acquisitions since 2023: Laminar (August 2023), Predibase (July 2025) and Strata.io (June 2026).
    - Laminar is a data security posture management (DSPM) platform.
    - Predibase is their developer platform.
    - Head of Global Sales resigned forfeiting a $11m grant
    - BoD issues a plan for the CEO Bipul Sinha conditional 8 million shares that he can purchase at $32 per, with each target goal. Each target goal unlocks a batch of shares.
      - The first goal is an increase in the stock price by 34% to unlock the first set which is 666,667 shares, going all the way up to the stock price reaching ~$240 per to unlock all 8 million shares.
      - Also contingent on Bipul Sinha holding the chair for the tenure of this plan. Rubrik recognises $139m of stock-based compensation expense for this grant over 1.2 to 4.5 years, whether or not the price targets are met.
      - CEO has received no equity since the IPO grant.
    - Advanced their identity position by acquiring Strata.io mid-June 2026.
    - Guidance Track Record:

Quarter	Guided (in m)	Track (in m)	Difference (in %)
Q4 FY26	$341-$343	$377.7	+10.4
Q1 FY27	$365-$367	$387.1	+5.8
Q2 FY27	$395-$397	$427.3	+7.9

The beat in all three quarters suggests Rubrik sets its guidance conservatively, though three quarters is a short record. Over the same period it has raised full-year guidance twice, lifting guided FY27 ARR growth to 28.8% ($1,882.5m midpoint against $1,462.1m at the end of FY26).

- Products:
  - Rubrik has two suites, Rubrik Security Cloud and Rubrik Agent Cloud.
  - Rubrik Security Cloud offers 4 products: Data Protection, Data Threat Analytics and Data Security, Identity Security, and Cyber Recovery.
  - Rubrik Agent Cloud became available in February 2026. No revenue history and is not separately disclosed.
  - Product-level share is not revealed; however, third-party analyst assessments suggest that Rubrik has been named a leader in the Gartner Magic Quadrant for Backup and Data Protection Platforms, and a Leader in the IDC MarketScape for Worldwide Cyber-Recovery 2025.

- Growth:
  - EBIT numbers for Rubrik suggest that in FY26, there was a loss of $345m and another loss of $1.134b in FY25. The FY25 loss was inflated by $913.9m of stock-based compensation, mostly from awards that vested on the April 2024 IPO and could only be expensed once it happened.
  - Rubrik remains loss-making on a GAAP basis, with an operating loss of $71.9m in Q2 FY2027. Excluding stock-based compensation, non-GAAP operating income was $33.5m, up from a $4.4m loss a year earlier. The difference is primarily $101.0m of SBC, which is non-cash but dilutive to shareholders. Free cash flow of $65.7m in the quarter confirms the business generates cash regardless of which basis is used though free cash flow margin has declined from 22% to 15% over the last four quarters as the company scales.
    Rubrik's guided FY27 ARR growth is now 28.8% ($1,882.5m midpoint against $1,462.1m), following two guidance raises since March.

- **Varonis:**
  - Management Quality:
    - CEO Yakov Faitelson has received about $13m a year in equity awards (2023 to 2025), within total reported pay of $14.4m in 2025.
    - Unlike Rubrik, Varonis does not name specific competitors in its 10-K.
    - Varonis spent about $247m on buybacks over 15 months ($115m in 2025 and $132.1m in Q1 2026), returning cash to shareholders while free cash flow guidance points lower.

- Acquired SlashNext and launched Varonis Interceptor, an AI email security service.
- Acquired Cyral which launched Varonis Next-Gen Database Activity Monitoring, “a new approach to database security”.
- Acquired AllTrue.ai in February 2026, and launched Atlas to integrate technology into its platform.
- A securities class action filed in January 2026 (Molchanov v. Varonis Systems, Inc.) alleges the company misrepresented its ability to convert self-hosted customers to SaaS.
- Guidance Track Record:

• Quarter	Guided (in m)	Track (in m)	Difference (in %)
Q3 FY25	$163 - $168	$161.6	-2.4
Q4 FY25	$165 - $171	$173.4	+3.2
Q1 FY26	$164 - $166	$173.1	+4.9
Q2 FY26	$175 - $178	$180	+2

- Similar consistent positive upward difference, but not super notable. Point to note though, Q3 reporting came under the guided revenue which is a forecasting failure. In their words, “in the final weeks of the quarter, we experienced lower renewals in the Federal vertical.”

- Products:
  - Varonis has announced end-of-life of its self-hosted products as of 31 December 2026, completing its transition to SaaS-only delivery. The platform itself is unchanged; the capabilities move to SaaS. SaaS was 86% of total ARR as of Q4 2025.
  - The platform spans data discovery and classification, DSPM, database activity monitoring, data-centric UEBA, data access governance and DLP, alongside identity resolution, identity posture and ITDR, Atlas AI security, and Interceptor email and browser security.
  - Varonis has been chosen as the Gartner Peer Insights Customers' Choice for Data Security Posture Management for 3 years running. Different category to Rubrik, incomparable.

- Growth:
  - EBIT numbers for Varonis show an operating loss of $146.5m in 2025, widening from $117.7m in 2024 and $117.2m in 2023. Unlike Rubrik, there is no one-off distortion behind this; the loss has grown in absolute terms and as a share of revenue, reaching 23.5%

in 2025. Non-GAAP operating income moved from $15.9m in 2024 to a $3.6m loss in 2025, having been positive the year before.

- Varonis remains loss-making on a GAAP basis, with an operating loss of $44.5m in Q1 2026, essentially flat against $43.8m a year earlier. Excluding stock-based compensation, non-GAAP operating loss narrowed to $1.4m from $6.5m. Stock-based compensation was 20.9% of revenue in 2025, below Rubrik's 25.0%. Free cash flow was $131.9m in 2025 at a 21.2% margin, but FY26 guidance was set at $100–105m in February, held in May and raised to $105–110m in July; the midpoint still implies an 18% decline from $131.9m while revenue is guided to rise 18% to 19%.

- **Final Suggestion:** Based on the evidence provided above: Rubrik is the stronger suggestion to buy with the following reasons:
  - Rubrik turned non-GAAP operating profitable in Q3 FY26 ($10.1m) and has stayed positive since: $6.1m (Q4 FY26), $24.6m (Q1 FY27), $33.5m (Q2 FY27). Varonis moved the other way, from non-GAAP operating income of $15.9m in 2024 to a $3.6m loss in ‘25. Both remain GAAP loss-making.
  - On free cash flow, which is unaffected by the GAAP/non-GAAP distinction, Rubrik generated $237.8m in FY26 and guides $323–333m for FY27. Varonis generated $131.9m in ‘25 and guides $105-110m for ‘26.
  - Rubrik has correctly, in fact, exceeded their forecasting for revenue growth per quarter substantially. Varonis missed their forecasting and reported lower than their expected in Q3 ‘25 and has since cut its full-year ARR outlook citing lower guided revenues than initially expected. However, it has beaten against the revised guided revenue.

Rubrik and Varonis 10-K filings, quarterly earnings releases (8-K Exhibit 99.1) and 2026 proxy statements (DEF 14A); securities class action Molchanov v. Varonis Systems, Inc.; market growth from Mordor Intelligence. Links in the GitHub README.